P5

Business Strategy & Planning

From strategic intent to execution, measurement and value creation



Strategic management is not a document — it is a continuous cycle.

Strategic planning: still relevant?

The environment is harder to predict — which makes strategic thinking more, not less, important.

Uncertainty

More variables, incomplete information and weaker visibility over the medium and long term.

Volatility

Markets, technologies and competitive conditions can change abruptly.

Acceleration

The time between signal, decision and impact is shrinking.

Stagnation & pressure

Mature markets, weaker demand and intense competition can compress margins.

Opportunism

New technologies and business models create opportunities faster than traditional plans.

STRATEGIC PLANNING ...
... OR A FIGHT FOR SURVIVAL?

Adapted from the original course deck.

What do we mean by strategy?

Strategy connects choices about the future with decisions made today.

Strategy
(according to Henry Mintzberg)

A way of thinking about the future that integrates decision-making and provides a coherent direction for action and results.

Key idea

Strategy is about choices and trade-offs — what the organisation will do, and what it will deliberately not do.

Conceptual framing adapted from the original deck; Mintzberg attribution retained.

From strategic intent to value creation

A practical strategy cycle for organisations.



UNDERSTAND

Purpose, context, customers, capabilities

CHOOSE

Objectives, positioning, priorities

ACT

Initiatives, resources, accountability

MONITOR

Measures, learning, adaptation

Create value → learn → adapt → create value again

The organisation and its objectives

Strategy starts with clarity about purpose and the value the organisation intends to create.

Value proposition

The customer-facing promise: why a target customer should choose the organisation's solution over alternatives.

Mission

The organisation's fundamental purpose: why it exists, what it does and the broad impact it seeks to create.

Vision

A compelling picture of the desired future: what the organisation aspires to become or achieve.

Value proposition: start with the customer

A strong value proposition answers a simple question: why choose us?

CUSTOMER	VALUE	CHOICE
Need / problem	**Benefits + experience + outcomes**	**Reasons to prefer our offer**

Test it

Is it relevant?
Is it differentiated?
Is it credible?
Can we deliver it profitably?

Example from the original deck: high-quality smartphones + innovative technology + affordable price → value for money.

Example adapted from the original course deck.

Mission: why do we exist?

The mission provides a stable anchor for decisions and organisational alignment.

A mission statement typically clarifies:

- The organisation's fundamental purpose
- What it does and for whom
- The broad contribution or impact it seeks to make
- The principles that guide its activities

Good mission statements are

- ✓ **Timeless**
- ✓ **Concrete**
- ✓ **Clear & direct**
- ✓ **Outward-looking**

Mission statements: examples

Examples.

Universidade Técnica do Porto (UTP)

To create, transmit and disseminate culture, knowledge, science and technology through the integration of:
Study & Education
Research
Experimental Development
Contributing to the social, cultural, economic and technological development of communities at regional, national and international levels.

Super Bock Group

Develop and strengthen our brand portfolio through a culture of passion, excellence and innovation, supported by our outstanding brewing credentials.
Create a positive impact on society through active citizenship and our commitment to a sustainable future.
Invest in our People, our most valuable assets.

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Google

Organise the world’s information and make it universally accessible and useful.

Mission examples: adapted/translated from the original course deck; wording should be checked against current official corporate sources before external publication.

Mission statements: examples

Organization	Current mission / purpose	Suggested concise mantra*
Coca-Cola	Refresh the world. Make a difference. The company aims to offer brands and beverages people love while contributing to a more sustainable future and positive impact on people, communities and the planet. (Coca-Cola Company)	**Refresh the world.**
Wendy's	Wendy's currently emphasizes its brand promise: “Fresh, Famous Food, Made Right, For You”, supported by a commitment to quality, responsible sourcing, people and communities. (Wendy's)	**Fresh food, made right.**
American Red Cross	Prevent and alleviate human suffering in emergencies by mobilizing volunteers and the generosity of donors. Its work includes disaster response, blood services, lifesaving training and support for military communities. (American Red Cross)	**Relieve suffering.**
United States Air Force	Fly, fight, and win — airpower anytime, anywhere. The mission covers the delivery of airpower across a range of operational capabilities. (Air Force)	**Airpower anytime, anywhere.**
Aloha United Way (Hawaii)	Unite people and resources to turn individual efforts into collective solutions, helping build a healthier, stronger and more equitable Hawai‘i. (Aloha United Way)	**Unite for community.**
March of Dimes	Lead the fight for the health of all moms and babies, with a focus on preventing maternal health risks and deaths, preterm birth and infant death, and reducing health inequities. (March of Dimes)	**Healthy moms, healthy babies.**

Mission, vision and values

Three complementary anchors for organisational identity.

1

MISSION

Why we exist; our purpose.

2

VISION

Where we aspire to go; the future we want to create.

3

VALUES

What we stand for; the principles shaping behaviour and culture.

Purpose → aspiration → behaviour

Mission vs. vision: keep the distinction clear

Both guide decisions, but they answer different questions.

MISSION

Why do we exist?

- Purpose and contribution
- Relatively stable over time
- Guides what we do and for whom
- Should be clear and concrete

VISION

What do we aspire to become?

- Desired future state
- Creates direction and ambition
- Should be memorable and specific
- Inspires progress and change

What makes a useful vision?

A vision should make the desired future easier to imagine — and easier to act on.

Brief

Easy to remember and repeat.

Specific

Clear enough to recognise progress.

Consistent

Repeated and communicated consistently.

Mobilising

Creates meaning and energy for action.

Vision statements: examples

Organization	Current Vision
Super Bock Group	Local Passion, Global Ambition
Google	Make the world's information universally accessible and useful
P.PORTO / Universidade Técnica do Porto	A reference institution in higher education, innovation and knowledge creation

Vision statements: examples

Organization	Current Vision
Coca-Cola	Loved brands, done sustainably, for a better shared future
Wendy's	The world's most thriving and beloved restaurant brand
American Red Cross	Always there in times of need
U.S. Air Force	Global vigilance, reach and power for the nation
Aloha United Way	A Hawai'i where every individual and family thrives
March of Dimes	A world where every mom and baby is healthy

Objectives: turn ambition into measurable outcomes

Mission and vision provide direction; objectives make the direction operational.

S	M	A	R	T
Specific	**Measurable**	**Achievable**	**Relevant**	**Time-bound**
What exactly must be achieved?	How will we know it happened?	Is it realistic with available resources?	Does it support the strategy?	By when must it be achieved?

Good objectives make trade-offs, accountability and progress visible.

Plans: from objectives to execution

A plan specifies how the organisation will turn objectives into action.

WHAT?

Activities and deliverables

WHEN?

Milestones and deadlines

WHO?

Owners and responsibilities

WHERE?

Scope, teams and locations

Action plan = objectives + initiatives + owners + timing + resources + measures

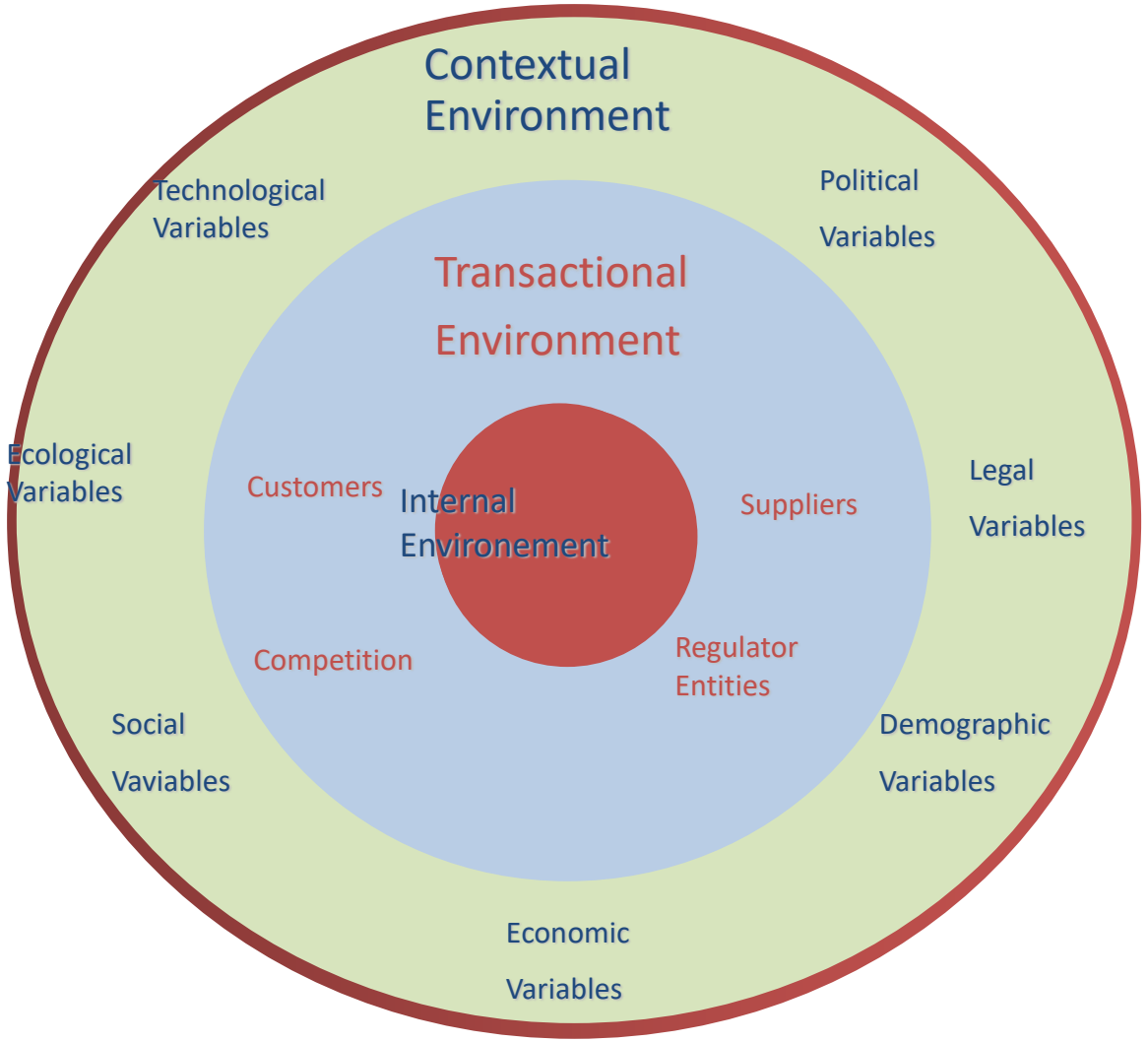
The 4 W's - WHAT? WHEN? WHO? WHERE?

Strategic planning methodology

A structured sequence — with feedback loops rather than a one-off document.

1. **Define mission & vision**
2. **Analyse external environment**
3. **Analyse internal capabilities**
4. **Define strategic objectives**
5. **Choose strategy & priorities**
6. **Translate into action plans**
7. **Monitor, learn & adapt**

External environment: what is happening around us?



External environment: what is happening around us?

Separate the broad context from the actors with whom the organisation directly interacts.

CONTEXTUAL ENVIRONMENT

PESTLE-style forces:

Political • Economic • Social • Technological • Legal • Environmental • Demographic

These shape the conditions in which the organisation operates.

TRANSACTIONAL ENVIRONMENT

Actors directly connected to the organisation:

Customers • Suppliers • Competitors • Regulators / public authorities

These shape day-to-day market dynamics.

Contextual analysis: key variables

Ask what could change the assumptions behind the strategy.

Political

Government priorities, stability, public policy

Economic

Growth, inflation, unemployment, interest rates

Social

Societal trends, lifestyles, expectations

Technological

Innovation, adoption, disruption, obsolescence

Legal

Laws, regulation, standards, compliance

Environmental

Climate, resources, environmental constraints

Demographic

Population size, age, structure, geography

Transactional environment

Map the actors that directly affect the organisation’s ability to create and capture value.

Customers

Who buys? Who pays? What needs are changing?

Suppliers

Who provides inputs, services or critical capabilities?

Competitors

Who offers similar or substitute solutions?

Regulators

Which rules, standards and authorities shape the market?

Internal analysis: what can we control?

Assess resources, capabilities and activities that influence competitive performance.

Innovation

Ability to develop and adopt new solutions.

Operations

Processes, productivity, quality and scalability.

Organisation

Structure, governance, culture and people.

Marketing

Brand, channels, customer insight and positioning.

Finance

Capital, liquidity, profitability and investment capacity.

Management

Leadership, decision-making and execution capability.

SWOT analysis: structure the diagnosis

SWOT separates internal factors from external conditions and helpful factors from harmful ones.

INTERNAL	EXTERNAL
STRENGTHS Internal capabilities or resources that help performance.	**OPPORTUNITIES** External developments that could create value.
WEAKNESSES Internal limitations that reduce performance or resilience.	**THREATS** External developments that could reduce value or increase risk.

From SWOT to strategic options

The value of SWOT comes from the choices it enables — not from the matrix itself.

SO

Use strengths to exploit opportunities

ST

Use strengths to reduce or manage threats

WO

Address weaknesses so opportunities can be captured

WT

Reduce vulnerabilities and exposure to threats

Questions: How do we maximise opportunities? Minimise threats? Overcome weaknesses? Capitalise on strengths?

From SWOT to strategic options

The value of SWOT comes from the choices it enables — not from the matrix itself.

INTERNAL / EXTERNAL	S (Strengths) Pontos fortes	W (Weaknesses) Pontos fracos
O (Opportunities) Oportunidades	SO Maxi maxi	WO Mini max
T (Threats) Ameaças	ST Maxi mini	WT Mini mini

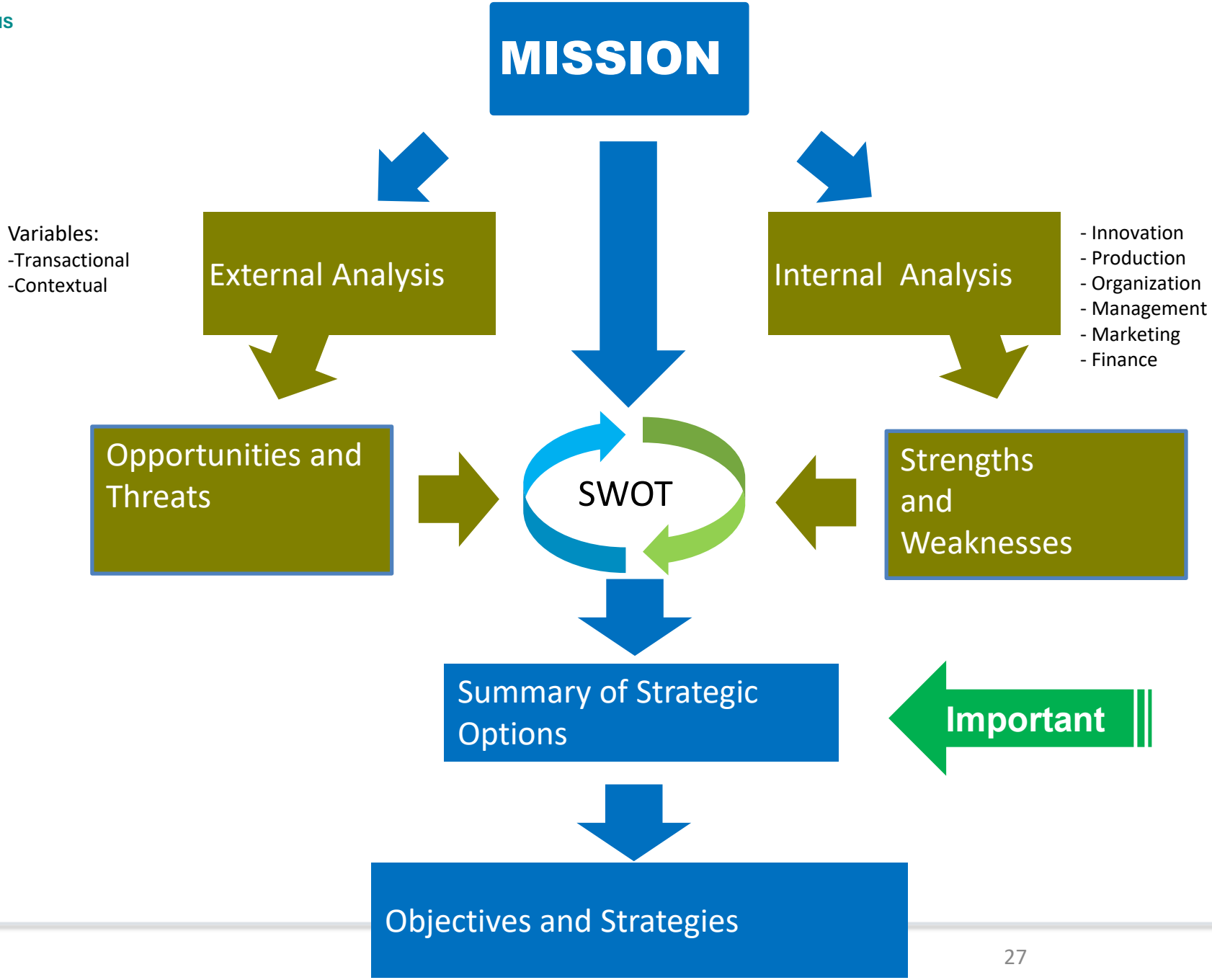
Consequences for business strategy:

- How to maximize the exploitation of opportunities?
- How to minimize the impact of threats?
- How to overcome weaknesses?
- How to capitalize on the strengths?

From analysis to strategic choices

A strategy should explain how the organisation will respond to its environment using its capabilities.

PURPOSE	Mission & vision
DIAGNOSIS	External + internal analysis
CHOICES	Priorities, positioning, strategic options
OBJECTIVES	Specific outcomes and targets
EXECUTION	Initiatives, resources and accountability


MISSION
Variables:
-Transactional
-Contextual
External Analysis
Internal Analysis
- Innovation
- Production
- Organization
- Management
- Marketing
- Finance
Opportunities and Threats
SWOT
Strengths and Weaknesses
Summary of Strategic Options
Important
Objectives and Strategies

Our future project

Strategic vision becomes meaningful when it changes today's choices and actions.

STARTING POINT	STRATEGIC GAP	FUTURE STATE
Where are we today?	**What must change?**	**Where do we want to be?**

"Projecting the future helps us see the need — and the opportunity — for change."

Adapted from the original course deck.

Porter’s Five Forces

Industry structure influences the potential for value creation and competitive pressure.

INDUSTRY ATTRACTIVE NESS

Threat of new entrants

How much pressure can this force exert on industry economics?

Buyer power

How much pressure can this force exert on industry economics?

Rivalry among existing firms

How much pressure can this force exert on industry economics?

Supplier power

How much pressure can this force exert on industry economics?

Threat of substitutes

How much pressure can this force exert on industry economics?

Based on Porter, M. E. (1980), “How Competitive Forces Shape Strategy”, Harvard Business Review.

Using the Five Forces in practice

The framework becomes useful when it changes the questions managers ask.

New entrants	What makes entry easy or difficult? Capital? Scale? Regulation? Brand? Technology?
Suppliers	How concentrated are suppliers? How costly is switching? Are inputs critical?
Buyers	How concentrated are customers? How price-sensitive are they?
Substitutes	Can another product, service or technology solve the same customer problem?
Rivalry	How many competitors exist? How differentiated are offers? How intense is price competition?

Based on Porter (1980).

Execution: where strategy becomes real

A strategy without ownership, resources and measures remains an intention.

Priorities

What matters most?

Initiatives

What will we do?

Resources

What must we allocate?

Owners

Who is accountable?

KPIs

How will we measure progress?

Governance

How will decisions be reviewed?

Monitor, learn and adapt

Strategic planning is a cycle: evidence should trigger learning and, when needed, change.

1

Measure

Track leading and lagging indicators.

2

Review

Compare actual performance with objectives.

3

Learn

Understand causes, assumptions and emerging signals.

4

Adapt

Adjust actions, resources or strategic choices.

The goal is not to predict the future perfectly — it is to remain capable of responding intelligently.

Key takeaways

A compact framework for applying strategic thinking.

1	**Start with purpose**	Clarify mission, vision and value proposition.
2	**Diagnose before deciding**	Read the external environment and internal capabilities.
3	**Make choices**	Set priorities, objectives and a coherent strategic position.
4	**Translate into action**	Assign initiatives, owners, resources, timing and measures.
5	**Learn and adapt**	Monitor performance and update assumptions as conditions change.

Strategy = direction + choices + execution + learning

Selected references & teaching note

Core references supporting the concepts used in this deck.

- Mintzberg, H. — strategic thinking and the relationship between strategy and decision-making.
- Porter, M. E. (1980). “How Competitive Forces Shape Strategy.” Harvard Business Review.
- Kawasaki, G. — The Art of the Start (mission / purpose framing used in the original deck).
- Original course deck: P5 – Business Strategy and Planning (source material supplied for this update).
- SMART objectives: Specific, Measurable, Achievable, Relevant and Time-bound.

Teaching note: examples and corporate statements should be checked against current official sources before being reused in public-facing materials.